**UNITED STATES BANKRUPTCY COURT**
**FOR THE DISTRICT OF KANSAS**

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| In re: | |
| SANDY ROAD FARMS, LLC,<br>Debtor. | Case No. 22-40446<br>Chapter 7 |
| STEVEN R. REBEIN, CHAPTER 7 TRUSTEE<br>Plaintiff, | |
| v. | Adv. Proc. No. _____ |
| PANHANDLE EASTERN PIPE LINE COMPANY, LP<br>Defendant. | |

**COMPLAINT TO AVOID AND RECOVER PREFERENTIAL TRANSFERS AND TO DISALLOW CLAIMS**

Plaintiff Steven R. Rebein, not individually but as the Chapter 7 Trustee (the "Trustee") for Sandy Road Farms, LLC (the "Debtor"), by and through his undersigned counsel, and for his Complaint to Avoid and Recover Preference Transfers against Defendant Panhandle Eastern Pipe Line Company, LP, a Delaware limited partnership ("Defendant"), states as follows:

## INTRODUCTION

1. This is an adversary proceeding brought in the above-captioned bankruptcy pursuant to Part VII of the Bankruptcy Rules seeking to avoid certain preferential transfers made by the Debtor to the Defendant and to recover the value thereof pursuant to 11 U.S.C. (the "Bankruptcy Code") §§ 542, 544, 547, 550 and 551.

2. Pursuant to the Bankruptcy Code, the Trustee is authorized to pursue all causes of action that belong to the Debtor as well as any applicable state law avoidance actions. 11 U.S.C. § 323(b).

3. It is the Trustee's express intent to avoid all transfers that may be avoided and recovered. These include not only the transfers identified herein but also all others that occurred within the avoidance period and which may be ascertained in the course of discovery.

## JURISDICTION, VENUE AND PARTIES

4. On August 1, 2022 (the "Petition Date"), Debtor filed a voluntary Petition for relief under Chapter 11 of the Bankruptcy Code (the "Code") in the United States Bankruptcy Court for the District of Kansas.

5. On April 29, 2024, the Court entered its Order Granting Debtor's Motion to Convert (DOC #324). Thereafter, Steven Rebein was appointed as Trustee.

6. This adversary proceeding relates to *In re Sandy Road Farms, LLC*, Case No. 22-40446, a case under Chapter 7 of the Bankruptcy Code, pending in the Topeka Division of the District of Kansas. This adversary action arises under Sections 547 and 550 of the Code. This Court has jurisdiction pursuant to 28 U.S.C. §§ 157 and 1334. This action is a core proceeding under 28 U.S.C. § 157(b)(2). The Trustee does not consent to entry of final orders or judgment by the Bankruptcy Court. This Court has venue pursuant to 28 U.S.C. §§ 1408 and 1409.

7. Defendant Panhandle Eastern Pipe Line Company, L.P., is a Delaware limited partnership that may be served by and through its registered agent, Corporation Service Company, 251 Little Falls Drive, Wilmington, DE 19808.

8. This action arises out of multiple transfers of interest in Debtor's property to Defendant constituting avoidable transfers pursuant to 11 U.S.C. § 547. Trustee conducted a review of its records and an analysis of any transfers to Defendant subject to avoidance as well as an

examination of applicable and provable defenses to avoidance of such transfers.

**COUNT I**

**(Avoidance of Preferential Transfers – 11 U.S.C. § 547)**

9. The Trustee incorporates the allegations contained in paragraphs 1 through 8 as if those allegations were set forth herein.

10. Per the Debtor's records provided to the Trustee, during the 90-day period preceding the Petition Date, Debtor paid to or for the benefit of the Defendant certain payments as detailed more fully on the attached Exhibit A. The payments to the Defendant by the Debtor constituted transfers of an interest of the Debtor's property (hereinafter referred to as the "Transfers").

11. In advance of commencement of this adversary action, Debtor issued a letter dated October 18, 2024 (the "Demand Letter") to Defendant requesting identification and substantiation of any verifiable defenses to avoidance of the Transfers (the "Preference Claim") and otherwise making demand on Defendant for disgorgement of the Transfers. A true and correct copy of the Demand Letter is attached hereto as Exhibit B.

12. Defendant did not respond to the Demand Letter and Defendant failed to supply any viable and provable basis for defenses to the Preference Claim nor did it disgorge the Transfers.

13. The Transfers were made by Debtor to or for the benefit of Defendant as a creditor.

14. The Transfers were made for or on account of an antecedent debt owed by Debtor to Defendant before the Transfer was made.

15. The Transfers were made while Debtor was insolvent.

16. The Transfers were made on or within 90 days before the Petition Date.

17. The Trustee has determined that creditors of this Debtor will be paid less than 100% of their claims in this bankruptcy proceeding. As such, the Transfers enabled the Defendant to receive more than Defendant would have received in Chapter 7 if the Transfers had not been made and if the Defendant had received payments of its debt to the extent provided by the provisions of the Code.

18. The Transfers are avoidable under 11 U.S.C. § 547.

WHEREFORE, the Trustee prays for a judgment in his favor and against Defendant determining that the Transfers are preferential under 11 U.S.C. § 547; finding that the funds in the aggregate amount set forth

on Exhibit A, are property of the estate under 11 U.S.C. § 541; ordering Defendant to turnover and surrender the funds to the Trustee under 11 U.S.C. §§ 542 and 550(a); awarding Trustee both pre-judgment interest commencing as of the date of the Trustee's demand to the Defendant and post-judgment interest on the funds at the legal rate; awarding the Trustee his costs (including the filing fee) due to Defendant's failure to surrender the funds to the Trustee; and awarding the Trustee such other and further relief that the Court deems just and proper.

**COUNT II**

**(Recovery of Property or Value of Property – 11 U.S.C. § 550)**

19. The Trustee incorporates the allegations contained in paragraphs 1 through 18 as if those allegations were set forth herein.

20. Defendant was the initial transferee of the Transfers or the entity for whose benefit the Transfers were made.

21. As the Transfers are avoidable under § 547, Trustee is entitled to recover from Defendant under 11 U.S.C. § 550(a) the Transfers or the value of the Transfers. In addition, Trustee is entitled to recover prejudgment interest at the maximum amount permitted by law from the date of each of the Transfers until the collection of judgment in this adversary proceeding.

WHEREFORE, the Trustee prays for a judgment in his favor and against Defendant determining that the Transfers are preferential under 11 U.S.C. § 547; finding that the funds in the aggregate amount set forth on Exhibit A, are property of the estate under 11 U.S.C. § 541; ordering Defendant to turnover and surrender the funds to the Trustee under 11 U.S.C. § 550(a); awarding Trustee both pre-judgment interest commencing as of the date of the Trustee's demand to the Defendant and post-judgment interest on the funds at the legal rate; awarding the Trustee his costs (including the filing fee) due to Defendant's failure to surrender the funds to the Trustee; and awarding the Trustee such other and further relief that the Court deems just and proper.

**COUNT III**

**(Disallowance of Claims – 11 U.S.C. § 502(d))**

22. The Trustee incorporates the allegations contained in paragraphs 1 through 21 as if those allegations were set forth herein.

23. Defendant is the transferee of the Transfers by Debtor which are avoidable under § 547 and recoverable from Defendant under § 550. Pursuant to 11 U.S.C. § 502(d), any claim(s) of Defendant against Debtor (regardless of whether or not the claim(s) were assigned) must be

disallowed unless Defendant pays the amount of the Transfers and any other avoidable transfer(s).

WHEREFORE, the Trustee prays for a judgment in his favor and against Defendant disallowing any claim filed by Defendant pursuant to 11 U.S.C. § 502(d) against Debtor's bankruptcy estate and for such other and further relief that this Court deems just and proper.

April 9, 2025

Respectfully submitted,

SEIGFREID BINGHAM, P.C.

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**ATTORNEYS FOR PLAINTIFF**

## EXHIBIT A

| PAYEE | DATE | PAYMENT TYPE | AMOUNT |
|---|---|---|---|
| Panhandle Eastern Pipe Line Company, LP | 05/05/2022 | Wire | $17,617.40 |
| Panhandle Eastern Pipe Line Company, LP | 05/13/2022 | Wire | $18,857.81 |
| Panhandle Eastern Pipe Line Company, LP | 05/20/2022 | Wire | $18,857.81 |
| Panhandle Eastern Pipe Line Company, LP | 05/27/2022 | Wire | $18,857.81 |
| Panhandle Eastern Pipe Line Company, LP | 06/03/2022 | Wire | $18,857.82 |
| Panhandle Eastern Pipe Line Company, LP | 06/16/2022 | Wire | $14,927.04 |
| Panhandle Eastern Pipe Line Company, LP | 06/23/2022 | Wire | $14,927.04 |
| Panhandle Eastern Pipe Line Company, LP | 06/30/2022 | Wire | $14,927.04 |
| Panhandle Eastern Pipe Line Company, LP | 07/08/2022 | Wire | $14,927.04 |
| Panhandle Eastern Pipe Line Company, LP | 07/22/2022 | Wire | $72,828.00 |
| **Total** | | | **$225,584.81** |